

in 1939, whereas the senior issues sold at 6. Note that in 1931 they sold as low as 35, whereas the 1st Consolidated Guaranteed 5s, due 1938, sold at 45 and the Canadian Pacific (unsecured) Debenture stock sold at 56⁷/₈. It is clear that the value of the *long-term* Canadian Pacific guaranty was not fully appreciated in 1931.

A similar disadvantage attaches to a guaranty of dividends running for a limited period.

Examples: The actual working out of such a situation was shown in the case of American Telegraph and Cable Company common stock, which was guaranteed as to 5% dividends (only) for 50 years from 1882 by the Western Union Telegraph Company under a lease terminating in 1932. Because of the long record of dividend payments, investors came finally to consider the dividend as a fixture, and as late as 1922 the stock sold at 70. But in the meantime the strategic or trade value of the leased cable properties was rapidly diminishing, so that the value of the stock at the expiration of the lease was likely to be very small. A settlement was made in 1930 with Western Union under which the American Telegraph and Cable stockholders received the equivalent of about \$20 for the principal of their stock.¹¹

A rather unusual example of the importance of the exact terms of a guaranty was supplied by Pratt and Whitney Preferred (retired in 1928). According to the security manuals, the dividend on this issue was “guaranteed” by its parent company, Niles-Bement-Pond. But in fact the Niles company agreed to make up unpaid dividends on Pratt and Whitney Preferred only to the extent that Niles had earnings available therefor after payment of its own preferred dividends. Hence no dividends were received by Pratt and Whitney Preferred stockholders from November 1924 to June 1926 without any claim being enforceable against Niles-Bement-Pond. In view of the possibility of such special provisions, particular care must be exercised to obtain complete information regarding the terms of a guaranty before purchasing any security on the strength thereof.

¹¹ An alert investor might have taken warning of this possibility from statements contained in the annual reports of Western Union, starting with 1913, wherein this company's own holdings of American Telegraph and Cable stock were written down annually towards an estimated value of \$10 per share in 1932.